LSEG (LSEG LN): Q3 2026 trading update

A clean beat, raised guidance, and an expensive deal

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What I expected vs what came out	
Q3 income excl. recoveries, my pre-results estimate	£2,373m
Q3 income excl. recoveries, reported	£2,407m (+1.4%)
Reported growth / organic growth	+8.5% / +8.8%
DCF value before results	9,522p
DCF value after results	9,343p

What happened

My pre-results estimate grew each of LSEG's 14 income lines at its H1 2026 rate. Q3 came in 1.4% above that. Markets beat by 1.7%, led by Fixed Income, Derivatives & Other (+£11m vs my estimate), OTC derivatives (+£5m) and net treasury income (+£5m). FTSE Russell subscriptions beat by 4.0% and Risk Intelligence by 2.9%. Data & Analytics was in line (+0.6%). Equities and non-cash collateral were below.

Guidance went up three times over: organic income growth of at least 8% (from 7% to 7.5%), a margin gain of 100 to 120bp (from about 100bp), and equity free cash flow of at least £2.8bn (from £2.7bn).

Octus

LSEG agreed to buy Octus for $3.535bn in cash, funded with debt. Management says it is neutral to adjusted EPS in the first full year and accretive after that. With my assumptions (40% EBITDA margin, 12% revenue growth, 5% cost of the new debt) it is roughly neutral in 2027, but my DCF values it below the price paid: it takes about 234p off the value per share. To be neutral on 2028 EPS, Octus would need an EBITDA margin of about 56%. Its margin is not disclosed, and it is the question I would ask at the full-year results.

Estimate changes

	Before	After	Change
2026E Income excl. recoveries (£m)	9,605	9,639	+0.4%
2026E Adjusted EBITDA (£m)	4,945	4,964	+0.4%
2026E Adjusted EPS (p)	488.7	490.8	+0.4%
2027E Income excl. recoveries (£m)	9,936	10,234	+3.0%
2027E Adjusted EBITDA (£m)	5,148	5,273	+2.4%
2027E Adjusted EPS (p)	533.7	537.6	+0.7%
2028E Income excl. recoveries (£m)	10,431	10,762	+3.2%
2028E Adjusted EBITDA (£m)	5,447	5,586	+2.6%
2028E Adjusted EPS (p)	589.9	585.6	-0.7%

DCF value bridge: 9,522p before results, +55p from the Q3 beat and guidance, -234p from Octus at my assumptions, 9,343p after.

What it means for the view

The quarter supports the operating case: subscription lines held up and Markets kept growing off a high base. The deal is the new question. If Octus margins are well above 40%, or the debt costs less than 5%, the value comes back. If not, LSEG has paid about 28 times this year's EBITDA for it, at a 40% margin.

Correction: earlier versions of this model did not deduct the Octus purchase price in the DCF. That is fixed here, which lowers the DCF value from 9,880p to 9,343p. For discussion only. Not investment advice. Sources: LSEG H1 2026 report, Q3 2026 trading update; Reuters.